Factory Assessment Report

Sustainable Compliance Initiative (SCI)

Companies that join the Fair Labor Association (FLA) agree to uphold the FLA Workplace Code of Conduct throughout their entire supply chain. The Code of Conduct is based on International Labour Organization (ILO) standards, and defines labor standards that aim to achieve decent and humane working conditions.

FLA member(s)	Fast Retailing Co., Ltd. - 25
Country	Malaysia
Assessment Date	8/18/2025
Assessment Company	OneStep Viet Co., Limited - 200005

Workforce Summary

Number of Workers	669
Percentage female	15 %
Primary Languages	English, Malay, Bengali, Nepali, Sinhala, Burmese, Vietnamese

Wage Data information

Monthly minimum wage in country at time of assessment	The legal monthly minimum wage in Malaysia in 2024 is 1,500 RM.
GLWC living wage benchmark for the country or relevant region at time of assessment	N/A

Assessment Summary

Violations per FLA Code Element	Violated Benchmarks
Nondiscrimination (ND)	0
Health, Safety And Environment (HSE)	3
Employment Relationship (ER)	4
Hours Of Work (HOW)	1
Harassment Or Abuse (HA)	0
Freedom Of Association And Collective Bargaining (FOA)	0
Forced Labor (F)	0
Child Labor (CL)	0
Compensation (C)	0

Violations per Category	Violated Benchmarks
Immediate Action Required	6
Sustainable Improvement Required	2
Uncorroborated Risk of Non-Compliance	0
Notable Feature	0

Assessment Results

Employment Relationship (ER)	
Benchmark ID	ER.4
Benchmark Details	Employers shall inform workers about workplace rules, environmental protection systems, health and safety information, and laws regarding workers' rights with respect to freedom of association, compensation, working hours, and any other legally required information, and the FLA Code through appropriate means, including posted in local language(s) throughout the workplace's common areas.
Finding Details	It was confirmed that most migrant workers were not aware of the repatriation costs.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Benchmark ID	ER.8
Benchmark Details	Employers shall have written policies and procedures with regard to promotion, demotion, and job reassignment that outline the criteria, demonstrate linkages to job grading, and prohibit discrimination or use of demotion or job reassignment as a form of penalty or punishment, are provided in writing and seek feedback from employees in writing, and follow all local legal requirements.
Finding Details	The company has a procedure for promotion/transfer/reassignment/demotion doc. No. BB-HR-09, Rev. 05, updated on January 1, 2025, which states that criteria used for consideration from promotion, transfer or reassignment will be fair and transparent without discrimination, and that employees will be selected based on criteria, personal interviews and skills assessment. However, there is no evidence of skill assessment or other documentation of performance evaluation for workers promoted to higher positions as per applicable standards.
Recommendations for Immediate Action	Ensure to have a proper system to conduct performance review for the promotion, demotion, and job reassignment purposes.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required

Local Law	N/A

Benchmark ID	ER.7.1
Benchmark Details	Employers shall have written policies and procedures with regard to performance reviews that outline the review steps and process, demonstrate linkages to job grading, prohibit discrimination, are provided in writing and seek feedback and agreement/disagreement from employees in writing, and that follow all local legal requirements.
Finding Details	The company has a procedure for promotion, transfer, reassignment and demotion doc. No. BB-HR-09, Rev. 05, updated on January 1, 2025, which states that criteria used for consideration from promotion, transfer or reassignment will be fair and transparent without discrimination, and that employees will be selected based on criteria, personal interviews and skills assessment. However, there is no evidence of skill assessment or other documentation of regular performance evaluation conducted for all workers as per applicable standards.
Recommendations for Immediate Action	Ensure to have a system to conduct the regular performance review to all workers.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	N/A

Benchmark ID	ER.17.1
Benchmark Details	Employers shall have a clear and transparent system of worker and management communication that enables workers to consult with and provide input to management. This might include suggestion boxes, worker committees, designated spaces for worker meetings, union representatives, and meetings between management and workers' representatives.
Finding Details	It was confirmed that some workers were not aware of the anonymous grievance mechanism.
Recommendations for Immediate Action	
Recommendations for Sustainable Improvement	
Compliance Classifications	Sustainable improvement required
Local Law	

Health, Safety And Environment (HSE)

Benchmark ID	HSE.14.1
Benchmark Details	All production machinery, equipment and tools shall be properly guarded and regularly maintained.
Finding Details	There is no inspection checklist made for one handy electric lift, as per company regulations for daily inspection. The factory has corrected this concern on the first day of the assessment.
Recommendations for Immediate Action	The inspection checklist shall be made for the equipment, as per company regulations.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	N/A

Benchmark ID	HSE.5.1
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all of the following elements: posting evacuation plans; the installation and maintenance of fire alarms; the installation and maintenance of emergency lighting; ensuring aisles/exits are not blocked and that workers are not blocked within their workstations; employee education and training; and evacuation procedures and fire drills.
Finding Details	Two (2) aisles' markings (one in the materials warehouse and one in the supermarket area) are faded. The factory has corrected this concern on the first day of the assessment.
Recommendations for Immediate Action	The aisles shall be marked with lines and directional signs leading to emergency exit doors, as per applicable standards.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	N/A

Benchmark ID	HSE.5.1.4
Benchmark Details	All applicable, legally required or recommended elements of safe evacuation shall be complied with, including all the following: ensuring aisles/exits are not blocked and that workers are not blocked within their workstations
Finding Details	One (1) aisle in the materials warehouse is partially blocked by the materials. The factory has corrected this concern on the first day of the assessment.

Recommendations for Immediate Action	The aisles shall be unobstructed at all times for the evacuation process.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	Uniform Building By-Laws 1984, Section 166 (2)

Hours Of Work (HOW)	
Benchmark ID	HOW.21
Benchmark Details	Other than in exceptional circumstances, the total weekly work hours (regular work hours plus overtime including any alternative shifts such as 4x4 or 3x3) shall not exceed 60 hours per week.
Finding Details	From the review of working hour records for 50 sampled workers for the months of January, February, and July 2025, it was found that while all workers worked below 60 hours/week in January and February 2025, 45 out of 60 workers worked over 60 hours in a week in July 2025, up to a maximum of 66 hours/week.
Recommendations for Immediate Action	Ensure to have a monitoring system to ensure that workers do not work more than 60 hours in a week.
Recommendations for Sustainable Improvement	
Compliance Classifications	Immediate Action Required
Local Law	N/A